

Human Capital

- Intangible asset or quality not listed on a company's balance sheet.
- Economic value of worker's experience and skills.
- Includes education, training, intelligence, skills, health, loyalty, and punctuality.

Human Capital Formation

The process of adding to the stock of human capital over time.

Physical Capital vs. Human Capital

S.NO	Physical Capital	Human Capital
1	Tangible, can be sold in the market	Intangible, built in the body and mind of its owner
2	Can be built only through imports and creates only private benefits	Depends on personal choice, creates both private and social benefits
3	Can be separated from the owner	Inseparable, cannot be sold, only services can be sold
4	Mobile between countries if trade restrictions followed	Hardly mobile, restricted by nationality

Sources of Human Capital Formation

- Expenditure on Education
- Expenditure on Health
- On-the-Job Training
- Expenditure on Migration
- Expenditure on Information

Expenditure on Education

- Most important source of Human Capital formation.
- Transforms a person to live a better life and secure their future.
- Educated people are an asset to the nation.
- Government should expand education system, improve quality, and allocate high budget.

Expenditure on Health

- Health is a form of human capital and an input for other forms of human capital.
- Unhealthy workers affect productivity.
- Forms of health expenditures:
 - Preventive medicines (vaccination)
 - Curative medicines (medical intervention during illness)
 - Social medicines (health literacy)
 - Clean and safe drinking water
- Increases productivity and GDP.

On-the-Job Training

- Enhances quality of labor and increases productivity.
- Firms spend on training (in-firm, under skilled worker, off-campus).
- Firms insist workers stay for a specific period to recover benefits.
- Increases GDP and National Income.

Expenditure on Migration

- People migrate for better jobs, higher salaries, and better utilization of skills.
- Costs: transport, living in a different social environment.
- Gains (higher salaries, living standards) often outweigh costs.
- Leads to fuller or better utilization of skills.

Expenditure on Information

- Incurred to acquire information on job markets, educational institutions, salaries, training.
- Enables people to use their potential better.

Importance or Role of Human Capital Formation

- **Raise Efficiency and Productivity of Physical Capital:** Engineers and skilled workers efficiently utilize machinery.
- **Bring Positive Change in Work Environment:** Increases capabilities, improves skills, communication, and attitude.
- **Raise Equity and Participation in Society:** Enhances productive capacities of labor, leading to greater economic and social equality.
- **Inventions, Innovations, and Technological Advancement:** Education provides knowledge for understanding change, scientific research, and medical science.
- **Higher Income and Standard of Living:** Creates more jobs, raises income, improves living standards and life expectancy.
- **Control of Population Growth:** Educated persons tend to have smaller families.

Problems of Human Capital Formation

- **Rising Population:** Reduces per capita availability of existing facilities, requires huge investment in education and health.
- **Long Term Process:** Skill formation takes time.
- **Brain Drain:** Migration of highly skilled labor (scientists, engineers, doctors) adversely affects economic development.
- **High Regional and Gender Inequality:** Lowers human development levels.
- **Insufficient On-the-Job Training in Agriculture:** Neglects a large sector, workers not trained in new technologies.
- **High Level of Poverty:** Many cannot afford basic health and education or higher education/expensive medical treatment.
- Insufficient Resources
- Less Expense on Research and Development

- Lack of Girls' Education
- Poor Performance of Government Schools
- Educated Unemployment

Human Capital vs. Human Development

Human Capital:

- Considers education and health as means to increase labor productivity.
- Narrow concept, treats humans as means to achieve higher productivity.
- Investment is unproductive if it doesn't enhance output of goods and services.

Human Development:

- Education and health are integral parts of human well-being.
- Broader concept, considers human beings as ends in themselves.
- Occurs when the majority of people are educated and healthy.

Educational Sector in India (Government Initiatives)

- Government should spend more on education.
- Regulate Government Schools.
- Promote Girls' Education.
- **Provision of Free and Compulsory Education:**
 - Right to Education Act (2009): Free education for children aged 6-14 years.
 - Education Cess: 2% on Union Taxes for elementary education.
 - Large outlay for higher education and new loan schemes.
- **Sarva Shiksha Abhiyan (SSA):**
 - Launched 2001-2002, in partnership with State and Local Governments.
 - Aims to provide useful and relevant elementary education to all children aged 6-14.

Organizations in Education and Health

- **NCERT:** National Council of Educational Research and Training.
- **UGC:** University Grants Commission.
- **AICTE:** All India Council of Technical Education.
- **ICMR:** Indian Council of Medical Research.
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